

DEPARTMENT OF VETERANS AFFAIRS

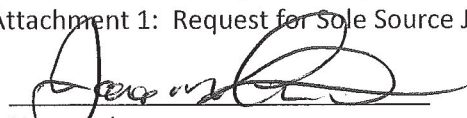
**SOLE SOURCE JUSTIFICATION UNDER SIMPLIFIED PROCEDURES FOR CERTAIN COMMERCIAL
ITEMS IN ACCORDANCE WITH FAR 13.5**

Acquisition Plan Action ID: 36C252-24-AP-3547

1. **Contracting Activity:** Department of Veterans Affairs, VISN 12, Great Lakes Acquisition Center (GLAC), 115 S. 84th Street, Suite 101, Milwaukee, WI., 53214-1476. Purchase request 676-25-1-559-0003.
2. **Nature and/or Description of the Action Being Processed:** This procurement is for a new firm-fixed price contract for service on the Metasys System in accordance with FAR 13.5 Simplified Procedures for Certain Commercial Items and specifically FAR 13.501 Special Documentation Requirements, where acquisitions conducted under Simplified Acquisition Procedures are exempt from the requirements of FAR Part 6, but still require a justification using the format of FAR 6.303-2.
3. **Description of Supplies/Services Required to Meet the Agency's Needs:** Services include remote service, support and required field service for the JCI Metasys Building Automation System (BAS) server. The estimated cost for a base year and four one year option periods is \$323,780.00 with the first period estimated to begin on 12/13/2024.
4. **Statutory Authority Permitting Restricted Competition:**
FAR 13.5 Simplified Procedures for Certain Commercial Items. The statutory authority for applying the Simplified Procedures for Commercial Items of FAR 13.5 is 41 U.S.C. § 1901 and is implemented by FAR 13.106-1(b)(2) for restricting competition on this procurement. **Competition is restricted on this procurement for the reason below:**

(X) Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements
5. **Demonstration that the Contractor's Unique Qualifications or Nature of the Acquisition Requires the Use of the Authority Cited Above (applicability of authority):** The Metasys, Johnson Controls Inc. (JCI), Original Equipment Manufacturer (OEM), contains software installed on the Tomah VA Medical Center server which is proprietary to Johnson Controls, Inc., and only JCI has access to and the capability to update this server software. Additionally, the main Metasys OEM BAS software key components, the Network Automation Engine (NAE), the NIE and the Application & Data Server/Extended Application & Data Server (ADS/ADX) are software components that link with and communicate between all the existing installed Heating, Ventilation & Air-Conditioning (HVAC) controllers and control panels installed at the Tomah VA Medical Center and are all proprietary to Johnson Controls Inc., as well. Remote access to the server with its proprietary server software can only be accomplished by the OEM, Johnson Controls, Inc., along with the training for the Tomah VA technicians.

6. **Description of Efforts Made to ensure that offers are solicited from as many potential sources as deemed practicable:** The marketplace was surveyed through the utilization of a notice of intent to sole source (36C25225Q0050) from 10/21/2024-10/28/2024. The notice provided a copy of the Statement of Work that provided full transparency of the requirement and an opportunity for any business size a chance to offer an outline of their capabilities and identifying their ability to meet the VA requirements. Upon expiration of the notice, one response was received. The capability statement was reviewed by the program partners and found that while the contractor stated that constant software upgrades are not necessary, not covering them would be very cost prohibitive. Furthermore, the system is currently utilizing the JCI HVAC control system and must maintain it through software upgrades and the continuous onsite attention provided by the JCI technicians.
7. **Determination by the CO that the Anticipated Cost to the Government will be Fair and Reasonable:** The Contracting Officer determines that the anticipated prices will be fair and reasonable based on prior acquisition history, the IGE for a basis of independent verification and current market rates; including the U.S. Bureau of Labor Statistics Consumer Price Index and Inflation Rates.
8. **Description of the Market Research Conducted and the Results, or a Statement of the Reasons Market Research Was Not Conducted:** As described in Section 6 above, market research, in accordance with FAR Part 10, was conducted by synopsis of the proposed acquisition, advising industry of the pending acquisition and soliciting inquiries from interested parties. A search of the Small business Administration (SBA) certification database on the SBA on the SBA Veteran Small Business Certification Program (VetCert) portal at <https://veterans.certify.sba.gov> as required by subpart 819.70 yielded no results. Searches were conducted using the North American Industry Classification System (NAICS) code 561210 and search term Metasys yielding no results.
9. **Any Other Facts Supporting the Use of Other than Full and Open Competition:** As per paragraph 5, the Metasys System operates the HVAC system at the Tomah VA Medical Center. Johnson Controls software communicates with the HVAC controllers and control panels.
10. **Listing of Sources that Expressed, in Writing, an Interest in the Acquisition:** Johnson Controls, Inc.
11. **A Statement of the Actions, if any, the Agency May Take to Remove or Overcome any Barriers to Competition before Making subsequent acquisitions for the supplies or services required:** There are currently no actions that may be taken to overcome barriers of competition as a direct result of Johnson Controls' proprietary software. Only the OEM has access to proprietary software for the Metasys System and to maintain all needed software updates.
12. **Requirements Certification:** I certify that the requirement outlined in this justification is a Bona Fide Need of the Department of Veterans Affairs and that the supporting data under my cognizance, which are included in the justification, are accurate and complete to the best of my knowledge and belief.


Name JAMES M. CONANT
Title M&O SPECIALIST
Facility TOMAH VAMC Facility Services

Date

11/26/2024

13. Approvals in accordance with the VHAPM Part 806.3 OFOC SOP:

- a. **Contracting Officer or Designee's Certification (required):** I certify that the foregoing justification is accurate and complete to the best of my knowledge and belief.

LORI EASTMEAD

Digitally signed by LORI
EASTMEAD

Date: 2024.11.26 14:46:03 -06'00'

Lori Eastmead
Contracting Officer
Great Lakes Acquisition Center (GLAC)

Date

- b. **One Level Above the Contracting Officer (Required over SAT but not exceeding \$750K):** I certify the justification meets requirements for other than full and open competition.

**MATTHEW
ZAWADA**

Digitally signed by
MATTHEW ZAWADA
Date: 2025.01.15 08:23:29
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Matthew Zawada
NCO 12, Branch Chief Services Team II
Great Lakes Acquisition Center (GLAC)

Date

